

LW1109

Introduction to Business Law

AUTUMN 2023 EXAMINATION • PAPER 1

Full Marking Scheme

Covers Questions 1-4 (Part A & Part B)

Prepared for Study-Uni. Model answers reflect the law of contract and tort as taught on LW1109 (UCC), covering offer & acceptance, frustration, negligent misstatement, and the set case-note topics. Case citations verified against primary/secondary legal sources at time of preparation.

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EXAM STRUCTURE Candidates attempt ONE question from Part A and ONE from Part B; Part B, Question 4 requires comment on any TWO of the four items. Because different candidates may have attempted different combinations, this scheme provides a full model answer for every question and every Q4 option, each self-contained and independently weighted to 100% (or, for the four Q4 options, to 50% each, reflecting that two are answered to make up the full Question 4 mark).

PART A · QUESTION 1

Rob, Sandra & Tara — Offer, Acceptance & the Timing of Communications

QUESTION 1

At the end of the academic year, Rob is leaving his accommodation and he decides to sell various books, posters and other items which were at his apartment during the year. Rob places an advertisement online, titled 'Offer – For Sale'. The advertisement lists all of the items and specifies an asking price of €500. The advertisement states that anyone who is interested in purchasing the items should contact Rob at either the email address or the phone number provided, prior to 5pm, 1st August.

Sandra notices the ad and she is immediately interested in purchasing most of the items, but not all. Sandra sends an email to Rob on 25th July, in which Sandra explains that she is prepared to pay €450 for particular items that she identifies in her email. Rob receives the email, but, as he is at work, Rob does not have the time to read through the email and he intends to respond the following day. However, after his return from work, Rob forgets to check his emails.

On the following morning, Rob receives a phone call from Tara. Tara wants to pay the full €500 for all of the items and she is eager to have the items paid for by 1st August. Rob tells Tara that he will soon be in contact with her again to confirm and to arrange for delivery and payment.

After the phone call with Tara, Rob checks his emails to see if there are any other messages. He then reads Sandra's email. Rob believes that he could have a better deal if he sold most of the items to Sandra for €450, while Tara – or anyone else who may be interested – could pay over €50 for the remaining items. Rob responds to Sandra's email, and he confirms that he will sell most of the items to Sandra for €450. The email is not read by Sandra until the next day, 27th July.

After sending the email to Sandra, Rob calls Tara. Rob tells Tara that he will not sell all of the items to her for €500 as originally discussed, but that he is willing to sell some items (the items which Sandra does not want) for €80. Tara is very annoyed. Tara believes that she legitimately accepted an offer made by Rob and that Rob cannot now revoke this offer or withdraw from their agreement.

Advise Tara.

APPROACH NOTE This is a single, undivided "advise the party" problem question, worth 100% of Question 1. It is broken into the six issues below purely for study purposes, mapped to a proportion of the total 100%.

Issue (a) · Does the "Offer - For Sale" title make the advertisement a legal offer?

FULL MODEL ANSWER

Rob titles his advertisement "Offer - For Sale," which invites the question whether this label changes the usual classification of a general advertisement as an invitation to treat. It does not. As established in *Partridge v Crittenden* [1968] 1 WLR 1204, the courts look to the substance and business sense of the communication, not to a single word used loosely in lay language. Lord Parker CJ's reasoning — that a seller with only limited stock cannot sensibly be taken to intend to bind themselves to every respondent — applies with particular force here: Rob has one set of items and invites "anyone interested" to contact him before a stated deadline, exactly the language of an invitation for others to make offers, not a promise to sell to whoever gets in touch first.

The consequence is that Rob's advertisement, notwithstanding its title, remains an invitation to treat. Both Sandra's email and Tara's telephone call are therefore properly understood as offers made **to** Rob, which Rob is free to accept, reject, or ignore.

Mark Allocation — Issue (a)

Tier	Descriptor	%
Full credit	Correctly identifies the advertisement as an invitation to treat despite its title, cites and applies <i>Partridge v Crittenden</i> , AND identifies that both Sandra and Tara are therefore offerors.	10%
Good	Correct classification and case cited, without clearly establishing that both Sandra and Tara are offerors.	7%
Partial	States the invitation-to-treat/offer distinction generally without applying it to the "Offer" title specifically.	4%
Minimal	Treats the advertisement as a binding offer because of its title, or omits the issue.	0–2%
Weight of this issue within Question 1		10%

Issue (b) · Sandra's email as an offer, and Rob's delay in reading it

FULL MODEL ANSWER

Sandra's email of 25 July, offering €450 for specified items, is an offer capable of acceptance by Rob. Rob receives the email but does not read it that day, and then forgets to check his emails after work. This delay has no independent legal effect at this stage: an offer, once received into Rob's inbox, is available to him, and his personal failure to read it promptly neither revokes Sandra's offer nor creates any obligation on Rob. Sandra's offer to buy specific items for €450 simply remains open and unacted until Rob gets around to reading it.

Mark Allocation — Issue (b)

Tier	Descriptor	%
Full credit	Correctly identifies Sandra's email as an offer AND explains that Rob's delay in reading it has no legal consequence at this stage.	10%
Good	Correctly identifies Sandra's email as an offer without addressing the effect (or lack of effect) of Rob's delay.	7%
Partial	Vague acknowledgment that Sandra made contact without classifying it correctly.	4%
Minimal	Issue not addressed, or Sandra's email misclassified.	0–2%
Weight of this issue within Question 1		10%

Issue (c) · Tara's phone call as an offer, not an acceptance

FULL MODEL ANSWER

Tara's belief, as recorded in the facts, is that she "legitimately accepted an offer made by Rob." This inverts the correct legal analysis. Since Rob's advertisement was an invitation to treat (Issue (a)), Rob made no offer capable of being accepted by anyone at that stage. It is Tara who, by telephoning Rob and proposing to pay the full €500 for all items, makes the offer — addressed to Rob, the offeree. Tara's own account of the transaction is therefore built on a mistaken premise from the outset: there was no prior "offer made by Rob" for her to accept.

Mark Allocation — Issue (c)

Tier	Descriptor	%
Full credit	Correctly identifies that Tara, not Rob, is the offeror, AND explicitly identifies that Tara's own account of "accepting Rob's offer" is legally mistaken.	15%
Good	Correctly identifies Tara as the offeror without engaging with Tara's mistaken characterisation of events.	11%
Partial	General discussion of the phone call without clearly allocating the roles of offeror/offeree.	6%
Minimal	Accepts Tara's framing that Rob made the offer, or omits the issue.	0–3%
Weight of this issue within Question 1		15%

Issue (d) · Was Rob's response to Tara an acceptance?

FULL MODEL ANSWER

This is the central issue in the problem. Having received Tara's offer, Rob tells her that "he will soon be in contact with her again to confirm and to arrange for delivery and payment." The question is whether this statement is itself an unconditional, binding acceptance of Tara's offer, or merely an acknowledgment that a decision will follow.

VERDICT

Not an acceptance — the language is provisional and forward-looking, not a present, unconditional assent.

An acceptance must be a final and unqualified expression of assent to the offer's terms; language that merely signals a willingness to continue discussions, or defers commitment to a future point, does not suffice. This is the same underlying difficulty that arose in *Gibson v Manchester City Council* [1979] 1 WLR 294, where the House of Lords held that a council's letter stating it "may be prepared to sell" a house was too equivocal to be a binding offer at all, because it did not commit to the transaction there and then, notwithstanding that the parties clearly intended to reach a deal eventually. While *Gibson* concerned equivocal offer-language rather than equivocal acceptance-language, the underlying principle transfers directly: words that look forward to a future confirmation, rather than concluding the matter in the present, do not conclude a contract. Rob's statement that he "will soon be in contact...to confirm" is squarely in this category: it explicitly contemplates a *later* act of confirmation, which necessarily means the matter is not yet confirmed. It reads as a holding response — "I hear you, I'll get back to you" — not as "yes, agreed."

The consequence is significant: no contract was ever concluded between Rob and Tara during that first phone call. Tara's belief that she had "legitimately accepted an offer made by Rob" is therefore doubly mistaken — she was the offeror, not the acceptor, and in any event Rob never gave the kind of final, unqualified response the law requires to conclude a contract.

Mark Allocation — Issue (d)

Tier	Descriptor	%
Full credit	Correctly identifies that Rob's response is not an unconditional acceptance, draws the analogy to the equivocal-language reasoning in <i>Gibson v Manchester City Council</i> , AND concludes clearly that no contract was formed with Tara at this point.	25%
Good	Correctly concludes no contract was formed, without engaging supporting authority on equivocal language.	18%
Partial	Recognises the language is "vague" without a clear legal conclusion as to contract formation.	10%
Minimal	Treats Rob's statement as a binding acceptance, or omits the issue.	0–5%
Weight of this issue within Question 1		25%

Issue (e) · Rob's acceptance of Sandra's offer — when did it take effect?

FULL MODEL ANSWER

After the phone call with Tara, Rob reads Sandra's email and replies confirming he will sell most of the items to her for €450. This is Rob's acceptance of Sandra's offer (Issue (b)). Sandra does not actually read the email until the next day, 27 July. The question is whether Rob's acceptance took legal effect only once Sandra read it, or earlier, once it arrived.

VERDICT

Effective on arrival in Sandra's inbox, not on her actually reading it — the contract with Sandra is very likely already formed before Rob's second call to Tara.

Email is generally treated as a form of near-instantaneous communication for these purposes, meaning the postal rule (*Adams v Lindsell*) does not apply. The modern, most directly relevant authority is *Thomas v BPE Solicitors (a firm)* [2010] EWHC 306 (Ch), in which Blair J held, obiter, that the postal rule is inapplicable to email and that an email is treated as communicated once it is **received** — available to be read — rather than only once it is actually opened; on the facts of that case, an email sent at 18:00 on a Friday evening was held effective at that time, even though the recipient had already left the office and did not read it until later, because 18:00 was within the working hours contemplated by the parties' ongoing transaction.

Applying this, Rob's acceptance email to Sandra was almost certainly effective when it arrived in her inbox — that is, promptly after Rob sent it, following the phone call with Tara but on the same day (26 July) — rather than only on 27 July when Sandra happened to open it. This timing matters: it means the Rob-Sandra contract for most of the items, at €450, is very likely already in existence **before** Rob makes his second call to Tara offering only €80 for the remaining items.

Mark Allocation — Issue (e)

Tier	Descriptor	%
Full credit	Correctly identifies that the postal rule does not apply to email, cites and applies <i>Thomas v BPE Solicitors</i> , AND correctly concludes the Sandra contract was likely formed on receipt (26 July), before the second Tara call.	25%
Good	Correctly identifies email as governed by a receipt-based (not postal) rule, without precise case authority or without placing the timing relative to the second Tara call.	18%
Partial	Assumes the postal rule applies to the email, or discusses timing without reaching a reasoned conclusion.	10%
Minimal	No attempt to address the timing of Rob's acceptance of Sandra's offer.	0–5%
Weight of this issue within Question 1		25%

Issue (f) · Advice to Tara — conclusion

FULL MODEL ANSWER

Tara should be advised that her belief that she has a binding agreement with Rob for all items at €500 is very unlikely to be correct, and on more than one ground. First, Rob's advertisement was an invitation to treat, not an offer, so it was Tara — not Rob — who made the operative offer when she telephoned him; there was accordingly no prior "offer made by Rob" of the kind she believes she accepted. Second, and in any event, Rob's response on that call ("I will soon be in contact...to confirm") was not a final, unconditional acceptance capable of concluding a contract; it was, at most, an indication that a decision would follow. No contract was therefore ever formed between Rob and Tara on the terms Tara believes.

Separately, Rob's subsequent contract with Sandra for most of the items, at €450, was most likely already legally binding — taking effect when Rob's acceptance email arrived in Sandra's inbox on 26 July — by the time Rob rang Tara back to offer only the remaining items at €80. Rob was therefore free to allocate the items as he did, and Tara has no legitimate contractual claim to have all items delivered to her for €500. Tara's realistic options are limited to accepting Rob's revised offer of the remaining items for €80, or declining and seeking the books, posters and other items elsewhere.

Mark Allocation — Issue (f)

Tier	Descriptor	%
Full credit	Synthesises all prior issues into clear, practical advice; correctly identifies Tara has no valid contractual claim; identifies her realistic options.	15%
Good	Correct overall conclusion but limited practical advice.	11%
Partial	Restates earlier findings without a clear bottom-line conclusion for Tara.	6%
Minimal	No coherent concluding advice given.	0–3%
Weight of this issue within Question 1		15%

QUESTION 1 — TOTAL

10 + 10 + 15 + 25 + 25 + 15 = 100%

PART A · QUESTION 2

Aidan & Bertha — Frustration of Purpose and the Deposit

QUESTION 2

Aidan is proposing to organise a charity event for the beginning of the new academic year. The main highlight of the event will be an opportunity for students to meet with several national broadcasters. Several local music acts and student groups will also perform at the event. Aidan contacts Bertha, the owner of a vacant hall near the university campus, to ask if she would be willing to facilitate the event. Bertha agrees, but she makes it clear that Aidan will need to pay an advance deposit of €2000. A remaining balance of €6000 must be paid after the event has taken place. Aidan is delighted to agree to this arrangement.

Although Aidan has successfully persuaded local acts and student groups to participate in the event, Aidan was overly optimistic when trying to make contact with broadcasters. A host of a Cork-based radio show has generously agreed to be involved and to be a presenter for the event itself. However, Aidan is adamant that the event must also include the national broadcasters that he had originally identified. The event has already been publicised throughout the campus and on social media as being a chance for a meet-and-greet with "Irish celebrities." Aidan continues to attempt to contact different broadcasters until the day before the event. As he has not received any responses, Aidan contacts Bertha to inform her that the event must be cancelled. Aidan claims that there is no way by which the event can now be held, that he will not pay the fee of €6000, and that he wants to reclaim his €2000 deposit.

Advise Bertha.

Issue (a) · Was there a valid, binding contract?

FULL MODEL ANSWER

Bertha offered to facilitate the event on payment of a €2000 deposit with a further €6000 payable afterwards; Aidan agreed. There is a clear offer, acceptance, and consideration on both sides (the promise of the hall against the promise to pay), with no facts suggesting any defect in formation. A valid contract for the hire of Bertha's hall therefore existed on these agreed terms.

Mark Allocation — Issue (a)

Tier	Descriptor	%
Full credit	Briefly and correctly confirms a valid contract exists, identifying its key terms (deposit, balance, timing).	10%
Good	Confirms a contract exists without identifying the terms.	7%
Partial	Assumes a contract without reasoning.	4%
Minimal	Issue not addressed.	0–2%
Weight of this issue within Question 2		10%

Issue (b) · Is this genuinely a case of frustration?

FULL MODEL ANSWER

Aidan's claim is that the contract is "frustrated" because the event, as he conceives of it, cannot go ahead without the national broadcasters. Unlike the classic frustration scenarios, however, nothing has happened to the hall itself: it is not damaged, destroyed, or otherwise unavailable. The event could physically still take place, with the local radio host, the music acts, and the student groups Aidan has already secured. What has failed is not the venue or the event as such, but one specific, hoped-for *enhancement* to it.

This squarely raises the doctrine of **frustration of purpose**, illustrated by a pair of contrasting "coronation cases" decided within days of each other in 1903. In *Krell v Henry* [1903] 2 KB 740, a room was hired specifically to view the coronation procession of Edward VII; when the procession was cancelled due to the King's illness, the Court of Appeal held the contract frustrated, even though the room itself remained perfectly usable, because viewing the procession was found to be the entire, mutually understood foundation of the contract — nothing else about the room made it worth hiring. By contrast, in *Herne Bay Steamboat Co v Hutton* [1903] 2 KB 683, a boat was chartered "for the purpose of viewing the naval review and for a day's cruise round the fleet"; when the naval review was cancelled, the Court of Appeal held the contract was **not** frustrated, because the boat could still be used for its other stated purpose (the cruise) — the venture's foundation had not been entirely destroyed, merely diminished.

VERDICT

This is a *Herne Bay* situation, not a *Krell v Henry* one — the contract is not frustrated.

Bertha's hall was hired to host a charity event featuring a meet-and-greet with broadcasters **and** performances by local music acts and student groups. Unlike the single, indivisible purpose in *Krell v Henry* (viewing one specific, non-recurring procession), the event here always had multiple components, several of which remain entirely achievable: the local acts and student groups have been secured, and a local radio host has agreed to present. The disappointment of one component (national broadcasters) diminishes the event's appeal but does not destroy its foundation in the way the cancelled procession did in *Krell*. This is much closer to *Herne Bay*, where the availability of an alternative, still-achievable purpose defeated the frustration claim.

Mark Allocation — Issue (b)

Tier	Descriptor	%
Full credit	Correctly identifies this as a frustration-of-purpose question, accurately states and contrasts <i>Krell v Henry</i> and <i>Herne Bay Steamboat Co v Hutton</i> , AND correctly applies the <i>Herne Bay</i> reasoning to conclude the contract is not frustrated.	30%
Good	Both cases correctly stated, but the application to the multi-component nature of Aidan's event is underdeveloped.	21%
Partial	Only one of the two "coronation cases" correctly cited and applied.	12%
Minimal	Accepts frustration uncritically as a general "impossibility" argument without engaging the purpose-frustration case law, or omits the issue.	0–6%
Weight of this issue within Question 2		30%

Issue (c) · The self-imposed nature of Aidan's difficulty

FULL MODEL ANSWER

A further, related point reinforces the conclusion in Issue (b). Frustration requires a genuinely external, supervening event beyond either party's control — not the simple non-fulfilment of one party's own optimistic plans. Here, the "problem" is that Aidan personally was unable to persuade any national broadcaster to attend, despite continuing to try until the day before the event. Nothing external happened to prevent the broadcasters from attending; they were simply never confirmed in the first place, because Aidan's outreach did not succeed. This is analytically closer to a party's own failure to secure what it hoped for than to an unforeseen frustrating event of the kind seen in *Taylor v Caldwell* (1863) 3 B & S 826 (destruction of a music hall by fire) or *Krell v Henry* (cancellation of a state occasion).

The general principle that a party cannot rely on frustration for a state of affairs substantially of its own making is most clearly established in *Maritime National Fish Ltd v Ocean Trawlers Ltd* [1935] AC 524, where the doctrine of self-induced frustration was applied to bar a charterer from relying on its own election not to license a particular vessel. Aidan's case is not exactly analogous on the facts (there is no single deliberate "election" as in that case), but the same underlying logic applies: an outcome that flows from the ordinary risk of a party's own commercial optimism not being borne out is not the kind of externally-imposed impossibility the frustration doctrine exists to address.

Mark Allocation — Issue (c)

Tier	Descriptor	%
Full credit	Clearly explains that frustration requires an external event, correctly characterises Aidan's failure to secure broadcasters as self-generated rather than externally imposed, AND draws an appropriately careful (not overstated) analogy to <i>Maritime National Fish v Ocean Trawlers</i> .	20%
Good	Correctly identifies the self-generated nature of Aidan's difficulty without precise supporting authority.	14%
Partial	Notes Aidan "should have tried harder" without connecting this to the legal requirement for an external event.	8%
Minimal	Issue not addressed.	0–4%
Weight of this issue within Question 2		20%

Issue (d) · Consequences — breach, the deposit, and the €6000 balance

FULL MODEL ANSWER

Because the contract is not frustrated, Aidan's cancellation the day before the event, and his refusal to pay the €6000 balance, constitute an ordinary **breach of contract** by Aidan, not a discharge of both parties' obligations. This has two consequences for Bertha.

The €2000 deposit. Whether Bertha may retain the deposit depends on its character. The leading authority, *Howe v Smith* (1884) 27 Ch D 89, distinguishes a true **deposit** — paid both as part payment and as an "earnest" or guarantee of performance — from a mere advance part-payment. A genuine deposit is, in the absence of contrary agreement, forfeited on the payer's default; it exists precisely to give the payer a motive to perform, and equity will not ordinarily relieve against its forfeiture. Bertha's €2000 was explicitly described as an "advance deposit," paid at the outset and distinct from the later balance, which is consistent with the classic *Howe v Smith* deposit structure rather than a mere instalment. On this basis, Bertha has a strong argument that she is entitled to retain the €2000, quite apart from any question of proving her actual loss.

The €6000 balance. Retaining the deposit does not, by itself, fully compensate Bertha if her actual loss from Aidan's breach (for example, lost income from being unable to re-let the hall at such short notice) exceeds €2000. Ordinary contract damages principles apply: Bertha may claim damages to put her in the position she would have been in had the contract been performed, subject to the usual duty to mitigate her loss (for instance, by attempting to secure another booking for the hall, though the very short notice — cancellation only the day before the event — makes meaningful mitigation unlikely in practice). Any deposit retained under *Howe v Smith* would ordinarily be brought into account against, not simply added on top of, Bertha's overall claim for loss, so as to avoid double recovery.

Mark Allocation — Issue (d)

Tier	Descriptor	%
Full credit	Correctly identifies breach (not frustration) as the operative consequence; cites and applies <i>Howe v Smith</i> to justify Bertha retaining the €2000 deposit; correctly addresses Bertha's separate entitlement to claim damages for further loss (subject to mitigation), and notes the deposit should be set against that claim.	25%
Good	Correctly concludes Bertha can retain the deposit with <i>Howe v Smith</i> cited, but the balance/damages/mitigation analysis is underdeveloped.	18%
Partial	Asserts Bertha can keep the deposit without correct authority or reasoning.	10%
Minimal	Concludes Bertha must return the deposit, or omits the issue.	0–5%
Weight of this issue within Question 2		25%

Issue (e) · Advice to Bertha — conclusion

FULL MODEL ANSWER

Bertha should be advised that Aidan's position is weak. His claim of frustration is unlikely to succeed: the hall remains available and usable, the event retains achievable content (local acts, student groups, and a confirmed local radio presenter), and the missing element — national broadcasters — was never secured due to Aidan's own unsuccessful efforts rather than any external supervening event. This is much closer to the unsuccessful frustration claim in *Herne Bay Steamboat Co v Hutton* than to the successful one in *Krell v Henry*.

Bertha should therefore treat Aidan's cancellation as a breach of contract. She has a strong basis to retain the €2000 deposit as an earnest of performance under *Howe v Smith*, and should further consider whether her actual losses (for example, lost hire income she was unable to recover through re-letting at such short notice) exceed that sum, in which case she may pursue Aidan for the difference as damages for breach, giving credit for the deposit already held.

Mark Allocation — Issue (e)

Tier	Descriptor	%
Full credit	Synthesises the prior issues into clear, practical advice for Bertha, correctly ranking the strength of her position and identifying her available remedies.	15%
Good	Correct overall conclusion but limited practical advice.	11%
Partial	Restates earlier findings without a clear bottom-line recommendation.	6%
Minimal	No coherent concluding advice given.	0–3%
Weight of this issue within Question 2		15%

QUESTION 2 — TOTAL

10 + 30 + 20 + 25 + 15 = 100%

PART B · QUESTION 3

Negligent Misstatement in Tort

QUESTION 3

By reference to appropriate examples of case law, please discuss the primary features of the law relating to negligent mis-statement in tort.

APPROACH NOTE This is an essay question worth 100% of Question 3. It is broken into the five issues below to structure a full answer; in the exam it should be written as one continuous, argument-led essay.

Issue (a) · The starting problem — words, economic loss, and the limits of ordinary negligence

FULL MODEL ANSWER

Negligent misstatement sits at the intersection of two features that make ordinary negligence principles uncomfortable: the harm is caused by **words** rather than acts, and the loss suffered is typically **pure economic loss** — financial loss unaccompanied by any physical damage to person or property. The general "neighbour principle" of *Donoghue v Stevenson* [1932] AC 562 was developed in the context of physical harm caused by a defective product, and courts were historically reluctant to extend an equivalent duty of care to careless *statements*, for practical reasons: words can be repeated and relied upon by an indeterminate number of people, for an indeterminate range of purposes, creating a risk of liability "in an indeterminate amount for an indeterminate time to an indeterminate class." Negligent misstatement is therefore best understood as a carefully bounded exception carved out to that general reluctance, rather than a simple extension of ordinary negligence.

Mark Allocation — Issue (a)

Tier	Descriptor	%
Full credit	Clearly identifies both distinguishing features (words vs acts; pure economic loss) AND explains why they historically made courts reluctant to impose a duty of care.	15%
Good	Identifies the distinguishing features without explaining the underlying policy concern.	11%
Partial	Vague framing of the topic without identifying what makes it distinct from ordinary negligence.	6%
Minimal	No meaningful framing given.	0–3%
Weight of this issue within Question 3		15%

Issue (b) · *Hedley Byrne v Heller* and the "special relationship"

FULL MODEL ANSWER

The foundational authority is *Hedley Byrne & Co Ltd v Heller & Partners Ltd* [1964] AC 465. An advertising agency sought a credit reference on a client from the client's bank; the bank supplied a favourable reference, but headed it "without responsibility." When the client went into liquidation and the agency suffered financial loss in reliance on the reference, it sued the bank in negligence. The House of Lords held that a duty of care *could*, in principle, arise for a negligent statement causing pure economic loss, even absent any contract between the parties, where there is a "special relationship" between them: broadly, where one party possessing special skill or knowledge gives information or advice to another, knowing or reasonably expecting that the other will rely on it, and the other does in fact reasonably rely on it. This is often described as requiring an "assumption of responsibility" by the maker of the statement, whether express or to be inferred from the circumstances.

On the facts, however, the House of Lords held that the bank's explicit disclaimer of responsibility prevented any duty of care from arising at all — a party can, by clear words, decline to assume the kind of responsibility the doctrine depends upon. The claim therefore failed, but the case is remembered for establishing the doctrine, not for its result.

Mark Allocation — Issue (b)

Tier	Descriptor	%
Full credit	Accurately states the facts and holding of <i>Hedley Byrne v Heller</i> , correctly articulates the "special relationship"/assumption of responsibility test, AND correctly explains why the claim nonetheless failed (the disclaimer).	25%
Good	Correct facts and test stated, but the disclaimer's role in the actual outcome is not clearly explained.	18%
Partial	General awareness of <i>Hedley Byrne</i> as the leading case without precise statement of the test.	10%
Minimal	<i>Hedley Byrne</i> not engaged with, or materially misstated.	0–5%
Weight of this issue within Question 3		25%

Issue (c) · Irish adoption and development

FULL MODEL ANSWER

Hedley Byrne was adopted into Irish law almost immediately: in *Securities Trust Ltd v Hugh Moore & Alexander Ltd* [1964] IR 417, Davitt P accepted that circumstances can create a relationship in which a party who seeks and is given information is owed a duty of reasonable care by the party supplying it, independently of any contract between them, following essentially the same reasoning as the House of Lords. The approach was confirmed shortly afterward in *Bank of Ireland v Smith* [1966] IR 646.

The Irish Supreme Court refined the doctrine further in *Wildgust v Bank of Ireland* [2006] 1 IR 570, addressing the question of who must actually rely on a negligent statement for liability to arise. The Court held that it is not necessary for the specific claimant to have personally read or directly relied upon the statement, provided the statement was made to a sufficiently identifiable class of persons who might foreseeably rely on it and the claimant falls within that class — drawing on the general duty-of-care framework associated with *Caparo Industries plc v Dickman* [1990] 2 AC 605 (foreseeability, proximity, and whether it is fair, just and reasonable to impose a duty), itself broadly reflected in Irish general negligence doctrine through cases such as *Glencar Explorations plc v Mayo County Council* [2002] 1 IR 84. The practical effect is that Irish law extends negligent misstatement liability to cases of foreseeable, class-based reliance, not only cases of direct, individualised reliance on a statement made face-to-face.

Mark Allocation — Issue (c)

Tier	Descriptor	%
Full credit	Correctly traces the immediate Irish adoption of <i>Hedley Byrne</i> (<i>Securities Trust v Hugh Moore</i> , <i>Bank of Ireland v Smith</i>) AND accurately explains the <i>Wildgust v Bank of Ireland</i> refinement on class-based (rather than strictly individual) reliance, linking it to the general Irish duty-of-care framework.	30%
Good	Correctly identifies at least the immediate Irish adoption and <i>Wildgust</i> , without fully explaining the class-reliance refinement.	21%
Partial	General assertion that Ireland "follows" <i>Hedley Byrne</i> without correct supporting Irish authority.	12%
Minimal	No Irish authority engaged with.	0–6%
Weight of this issue within Question 3		30%

Issue (d) · Disclaimers and the limits of the duty

FULL MODEL ANSWER

As *Hedley Byrne* itself illustrates, an effective disclaimer of responsibility can prevent a duty of care from arising at all, since the doctrine is fundamentally grounded in a voluntary (express or inferred) assumption of responsibility; where that assumption is expressly declined, the foundation for the duty is absent. In consumer contexts this freedom to disclaim is now heavily constrained by unfair contract terms legislation, but in ordinary commercial dealings between parties of comparable bargaining power, a clear and properly communicated disclaimer generally remains effective. The duty is further limited by the requirement of a sufficiently proximate relationship: casual, off-the-cuff remarks made in a purely social context, without any real assumption of responsibility or reasonable expectation of reliance, will not attract liability, even where they turn out to be careless and cause loss.

Mark Allocation — Issue (d)

Tier	Descriptor	%
Full credit	Correctly explains the role of disclaimers in negating the assumption of responsibility, AND distinguishes actionable statements from casual/social remarks lacking the necessary proximity.	15%
Good	Correctly explains disclaimers without addressing the social/casual context limitation.	11%
Partial	Vague reference to "limits" on the doctrine without specific mechanisms.	6%
Minimal	Issue not addressed.	0–3%
Weight of this issue within Question 3		15%

Issue (e) · Critical assessment and conclusion

FULL MODEL ANSWER

The negligent misstatement doctrine represents a deliberately narrow and carefully policed exception to the general reluctance to compensate pure economic loss in negligence. Its strength lies in targeting liability at situations of genuine, reasonably-relied-upon expertise or assumed responsibility — professional advice, credit references, valuations — rather than opening liability to the world at large for every careless remark. The Irish courts' extension in *Wildgust* to foreseeable classes of reliant persons, rather than only direct individual reliance, arguably brings the doctrine closer into line with the underlying policy rationale (protecting reasonable, foreseeable reliance) while still requiring genuine proximity and an identifiable class, preserving the "indeterminate liability" concern that originally justified treating statements differently from acts.

A residual weakness is the doctrine's continued dependence on the somewhat elastic concept of "assumption of responsibility," which can be manipulated by disclaimers in ways that may not always track the underlying merits of a claim, particularly where the disclaiming party has considerably superior bargaining power. On balance, however, the doctrine can be assessed as a coherent, incrementally developed body of law that succeeds in extending negligence liability to economic loss caused by words, without collapsing the boundary the courts have always been anxious to preserve between compensable, proximate reliance and open-ended liability for careless talk.

Mark Allocation — Issue (e)

Tier	Descriptor	%
Full credit	Offers a genuinely critical (not merely descriptive) assessment weighing the doctrine's strengths and weaknesses, with a clear, reasoned overall conclusion.	15%
Good	Some critical engagement, but skewed towards one side without balance.	11%
Partial	Largely descriptive summary without independent critical assessment.	6%
Minimal	No conclusion or critical engagement offered.	0–3%
Weight of this issue within Question 3		15%

QUESTION 3 — TOTAL

15 + 25 + 30 + 15 + 15 = 100%

PART B · QUESTION 4

Comment or Case-Note on any TWO of the Following

QUESTION 4

Please write a comment or case-note on any TWO of the following:

- (i) *Butler Machine Tool Co. v. Ex-Cell-O Corp.* [1979] 1 All ER 965
- (ii) The incorporation of exclusion clauses by reference.
- (iii) *Kenny v. O'Rourke* [1972] IR 339
- (iv) Remoteness in tort law.

APPROACH NOTE Candidates select any TWO of the four items below, so each is independently worth 50% of Question 4's total mark. All four are provided in full here, self-contained.

Q4(i) · *Butler Machine Tool Co v Ex-Cell-O Corp* [1979] 1 WLR 401 — worth 50% if selected

FULL MODEL ANSWER

Facts. Butler Machine Tool Co (sellers) quoted to sell a machine tool to Ex-Cell-O Corporation (buyers) for £75,535, on the sellers' own standard terms, which included a price variation clause allowing the price to increase if the sellers' costs rose before delivery, and which stated that the sellers' terms would prevail over any terms put forward by the buyers. The buyers replied with an order on their *own* standard terms, which contained no price variation clause, and which included a tear-off acknowledgment slip for the sellers to sign, stating "we accept your order on the terms and conditions stated therein." The sellers signed and returned the slip, but attached a covering letter stating that the order was accepted "in accordance with" the sellers' original quotation. On delivery, the sellers sought to invoke the price variation clause; the buyers refused to pay the increase.

Issue. In this "battle of the forms," whose standard terms — the sellers' (with the price variation clause) or the buyers' (without it) — governed the contract?

HELD

The buyers' terms prevailed; the price variation clause did not apply, and the sellers' claim failed.

Reasoning. The Court of Appeal analysed the exchange through orthodox offer and counter-offer principles: the sellers' quotation was an offer; the buyers' order, containing materially different terms (no price variation clause), was a counter-offer, which destroyed the sellers' original offer (applying the same mirror-image logic as *Hyde v Wrench*); and the sellers' signed acknowledgment slip, returned without qualifying the buyers' terms in any legally effective way, constituted acceptance of that counter-offer on the buyers' terms. The sellers' covering letter, though it was literally the "last shot" fired in the exchange, was held not to reassert the sellers' terms with sufficient clarity: read as a matter of construction, it referred back to the sellers' quotation only for the purpose of identifying the price and description of the machine, not to reintroduce the price variation clause as an operative term.

Lord Denning MR, while agreeing with the ultimate result, suggested a more flexible alternative approach: rather than mechanically applying offer/counter-offer/acceptance analysis, a court could examine the whole run of correspondence and conduct to determine whether the parties had, in substance, reached agreement on all material points. On the facts, he considered this approach also favoured the buyers, since the general rule in a "battle of forms" is that the last shot fired and unobjected to — ordinarily the last form exchanged before performance begins — will usually govern, and here the buyers' form was that last, unobjected-to document properly reasserting its own terms.

Significance. *Butler* remains the leading English authority on the "battle of the forms" and the associated "last shot" doctrine: in a standard-terms exchange, the terms of whichever party fired the last shot — the final form sent and accepted without genuine objection — ordinarily govern the contract. It is also significant for exposing a persistent tension in this area between the traditional, mechanical offer/counter-offer/acceptance method (favoured by the majority)

and Lord Denning's more holistic "look at the whole correspondence" method, a tension that later cases (e.g. *Tekdata Interconnections Ltd v Amphenol Ltd* [2009] EWCA Civ 1209) have generally resolved in favour of the traditional, more predictable approach, while acknowledging Lord Denning's method may still have a role in genuinely ambiguous cases.

Mark Allocation — Q4(i), if selected

Tier	Descriptor	%
Full credit	Accurately states facts, issue and holding; correctly explains the majority's offer/counter-offer reasoning AND Lord Denning's alternative approach; identifies the case's significance for the "last shot" doctrine.	50%
Good	Facts and holding correct, with the majority reasoning explained but Lord Denning's alternative approach not developed.	36%
Partial	General awareness of the case (battle of the forms, machine tool) without accurate reasoning.	20%
Minimal	Case misidentified or not meaningfully addressed.	0–9%
Weight if this option is selected (one of two chosen)		50%

Q4(ii) · The Incorporation of Exclusion Clauses by Reference — worth 50% if selected

FULL MODEL ANSWER

The general problem. Many exclusion (and other) clauses are not individually negotiated but are incorporated "by reference" — printed on a ticket, receipt, or delivery note, or referred to as being "available on the premises" or "overleaf," rather than read out and agreed line by line. The law's task is to decide when such a clause genuinely becomes part of the contract, balancing business convenience against the risk that a party may be bound by a term they never realistically saw.

Incorporation by signature. Where a party signs a document containing the clause, the law applies a strict rule: *L'Estrange v F Graucob Ltd* [1934] 2 KB 394 held that, absent fraud or misrepresentation, a signature binds the signer to a document's terms regardless of whether they were read or understood. Signing is treated as conclusive evidence of assent, and questions of "notice" become largely irrelevant once a valid signature is obtained.

Incorporation without signature — reasonable notice. Where no document is signed — the ordinary case for tickets, receipts, and delivery notes — the governing test is **reasonable notice**, established in *Parker v South Eastern Railway Co* (1877) 2 CPD 416: a party seeking to rely on a clause must show that reasonable steps were taken to bring it to the other party's attention before or at the time the contract was made; actual knowledge is not required, provided reasonable notice was given. Timing is critical: in *Thornton v Shoe Lane Parking Ltd* [1971] 2 QB 163, a clause printed on a machine-issued car park ticket came too late to be incorporated, because the Court of Appeal held the contract had already been concluded, on the terms displayed at the entrance, the moment the customer's money was accepted by the machine — the ticket, issued only afterwards, was a mere receipt, not a fresh contractual document capable of adding new terms.

The graduated, "red hand rule" for onerous or unusual terms. The required degree of notice is not fixed, but scales with how unusual or onerous the clause is. Denning LJ's memorable formulation in *J Spurling Ltd v Bradshaw* [1956] 2 All ER 121 — that some clauses would need to be "printed in red ink...with a red hand pointing to it" before notice could be considered sufficient — was applied directly in *Thornton* itself (given the clause there purported to exclude liability for personal injury) and extended beyond exclusion clauses altogether in *Interfoto Picture Library Ltd v Stiletto Visual Programmes Ltd* [1989] QB 433, where a delivery note's clause imposing an exorbitant daily "holding fee" for late-returned transparencies was held not incorporated, because its unusual severity required far more prominent notice than simply being printed among standard conditions on the delivery note. Bingham LJ's formulation — that "the more outlandish the clause, the greater the notice... which must in all fairness be given" — captures the sliding-scale nature of the doctrine.

Mark Allocation — Q4(ii), if selected

Tier	Descriptor	%
Full credit	Correctly distinguishes signature-based incorporation (<i>L'Estrange v Graucob</i>) from notice-based incorporation (<i>Parker v South Eastern Railway</i> , <i>Thornton v Shoe Lane Parking</i>), AND correctly explains the graduated "red hand rule" for onerous/unusual terms (<i>Interfoto v Stiletto</i>).	50%
Good	Signature and notice-based incorporation correctly distinguished, but the graduated onerous-terms rule not developed.	36%
Partial	General discussion of "notice" without distinguishing signed from unsigned documents, or without correct case authority.	20%
Minimal	Topic not meaningfully addressed.	0–9%
Weight if this option is selected (one of two chosen)		50%

Q4(iii) · *Kenny v O'Rourke* [1972] IR 339 — worth 50% if selected

FULL MODEL ANSWER

Context and facts. *Kenny v O'Rourke* [1972] IR 339 is an Irish Supreme Court decision arising from a workplace accident involving a defective ladder. The plaintiff fell while using the ladder, and negligence on the part of the defendant in respect of the ladder's condition was established; the live dispute, however, was over **causation** — specifically, whether it was the ladder's defect, or the plaintiff's own manner of using it (the evidence suggested the plaintiff had leaned forward significantly while on the ladder), that actually caused the fall.

CHECKNOTE The full judgment text was not directly available for verification when this scheme was prepared; the account below is limited to the causation principle for which the case is consistently cited in Irish tort teaching materials, and should not be treated as a complete or verbatim account of the judgment's reasoning or of every judge's individual analysis.

Significance — the causation principle. *Kenny v O'Rourke* is cited as authority for the proposition that establishing a breach of duty (here, the defective ladder) is not, by itself, sufficient for liability in negligence: the plaintiff must further show that the breach was a **material element and a substantial factor** in bringing about the damage suffered, not merely a background circumstance against which some other, independent cause (here, the plaintiff's own leaning) actually produced the fall. The case is regularly taught alongside *Barnett v Chelsea and Kensington Hospital Management Committee* [1969] 1 QB 428 as an Irish illustration of the same underlying point: that breach and causation are analytically distinct requirements, and a defendant whose negligence did not actually operate to cause the claimant's loss will not be liable in negligence, however clearly the breach itself is established.

Wider relevance. The case is a useful reminder, in an Irish context, that factual causation in negligence is not established merely by identifying *some* negligent conduct connected in time and place to an accident; the claimant carries the onus of proving, on the balance of probabilities, an actual causal connection between the specific breach relied upon and the harm suffered — an onus the courts have generally been unwilling to shift or relax merely because a defendant was, in some general sense, at fault.

Mark Allocation — Q4(iii), if selected

Tier	Descriptor	%
Full credit	Correctly identifies the case as an Irish causation authority involving a defective ladder, accurately states the material-contribution/substantial-factor principle, AND connects it to the general breach/causation distinction (e.g. via comparison with <i>Barnett v Chelsea</i>).	50%
Good	Correctly states the causation principle without full contextual comparison to other causation authority.	36%
Partial	Vague awareness that the case concerns causation, without accurately stating the principle.	20%
Minimal	Case misidentified or not meaningfully addressed.	0–9%
Weight if this option is selected (one of two chosen)		50%

Q4(iv) · Remoteness in Tort Law — worth 50% if selected

FULL MODEL ANSWER

The problem remoteness addresses. Even where a defendant owed a duty of care, breached it, and factually caused the claimant's loss, the law does not hold the defendant liable for *every* consequence that flows, however far removed, from the breach. Remoteness is the doctrine that limits recoverable damage to that which is not "too remote" a consequence of the defendant's negligence.

From direct consequences to reasonable foreseeability. The older approach, from *Re Polemis and Furness, Withy & Co Ltd* [1921] 3 KB 560, held a defendant liable for all **direct** consequences of a negligent act, however unforeseeable, provided some damage of any kind was foreseeable at all. This was decisively rejected by the Privy Council in *Overseas Tankship (UK) Ltd v Morts Dock and Engineering Co Ltd (The Wagon Mound) (No 1)* [1961] AC 388: the defendant's vessel negligently discharged furnace oil into Sydney Harbour, which drifted beneath the claimant's wharf; welding work on the wharf ignited the oil, causing a fire that destroyed the wharf. On the evidence, it was not reasonably foreseeable that furnace oil spread on water could ignite in this way. The Privy Council held the fire damage was too remote: liability in negligence is confined to damage of a kind that a reasonable person in the defendant's position would have foreseen as a possible consequence of the breach, not simply whatever happens to follow directly from it.

Refinements. The reasonable foreseeability test does not require the precise manner or extent of the harm to have been foreseeable, only damage of the same general **type**. *Hughes v Lord Advocate* [1963] AC 837 illustrates this: where workmen negligently left a manhole covered only by a tent and paraffin lamps, and a child's interference with a lamp caused an explosion (rather than the more mundane burn injury that was foreseeable), the House of Lords held the injury was not too remote, since burn injury of some kind from the lamps was foreseeable, even though the precise mechanism (an explosion) was not. Separately, the so-called "thin skull rule" (*Smith v Leech Brain & Co Ltd* [1962] 2 QB 405) provides that, once some physical harm of a foreseeable type is established, a defendant must take their victim as they find them and is liable for the full extent of harm actually suffered, even if the claimant's own unusual vulnerability made the consequences far more severe than would ordinarily be expected.

Significance. Together, these cases establish that remoteness is governed by reasonable foreseeability of the type (not the precise manner or extent) of harm, marking a deliberate policy choice to limit negligence liability to a defensible, foreseeability-based scope, rather than the open-ended direct-consequence liability that *Re Polemis* had previously allowed.

Mark Allocation — Q4(iv), if selected

Tier	Descriptor	%
Full credit	Correctly explains the shift from <i>Re Polemis</i> to the reasonable-foreseeability test in <i>The Wagon Mound (No 1)</i> , AND correctly explains at least one refinement (type-not-manner foreseeability via <i>Hughes v Lord Advocate</i> , or the thin skull rule via <i>Smith v Leech Brain</i>).	50%
Good	Correctly states the <i>Wagon Mound</i> test without engaging either refinement.	36%
Partial	General awareness that "foreseeability" matters to remoteness without correct case authority.	20%
Minimal	Topic not meaningfully addressed, or remoteness confused with factual causation.	0–9%
Weight if this option is selected (one of two chosen)		50%

QUESTION 4 — TOTAL (any two selected)**50% + 50% = 100%**